PetroApp

Financial Planning and Analysis Process

Process Name:	Financial, Planning and Analysis Process
Process Owner:	Medhat Sabry (FP&A Director)
Date:	29/4/2025
Document Code	PA_GR_Fin_PR_01
Revision:	0.1

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1. Introduction:

The Financial Planning and Analysis (FP&A) process is designed to provide a systematic approach for planning, forecasting, budgeting, and analyzing Petroapp's financial performance. This process helps to ensure that financial resources are allocated effectively, performance is regularly assessed, and strategic decision-making is supported by reliable financial insights.

2. Purpose:

The purpose of the FP&A process is to:

- Provide accurate financial forecasts that align with business objectives.
- Analyze financial performance to discover areas for improvement.
- Develop strategic financial plans to guide long-term business decisions.
- Monitor ongoing financial performance to ensure alignment with approved budgets.
- Enhance decision-making by providing relevant and timely financial insights.

The process is designed to be cyclical and iterative, ensuring continuous improvement, flexibility, and adaptability to changes in the business environment.

3. Scope:

This process is applicable in all countries where Petroapp operates.

4. Abbreviations:

FP&A: Financial Planning and Analysis.

5. Procedures:

5.1 Setting Directions:

5.1.1 The FP&A Director collects past financial statements (income statement, balance sheet, and cash flow) to understand historical trends.

5.1.2 The FP&A Director reviews key operational data such as sales numbers across all services, headcount costs, and other relevant ratios.

5.1.3 Accordingly, **by August 10th**, the FP&A team will provide the expected land budget and expected EBITDA for each country.

5.1.4 The Strategy team will then lead a discussion with all CxOs to outline the company's direction regarding required qualitative assumptions in terms of sales, maximum expenses, new investments, and potential expansions by **1st September**.

5.1.5 **By 10th September**, the FP&A Director converts the company's directions into numerical projections.

5.1.6 **By the end of the second week of September**, the FP&A Director sends the report on assumptions regarding future trends to all CxOs and obtains CSO, CFO and CEO approvals via email.

5.2 Budget Planning

5.2.1 The FP&A Director confirms overall budget strategy and alignment with corporate goals with strategy office.

5.2.2 The FP&A Director prepares financial templates for the budgeting phase.

5.2.3 The FP&A Director conducts meetings with Country Finance Managers to provide guidance on overall budget strategy, local revenues and expenses assumptions.

5.2.4 The FP&A Director collaborates with the strategy office to establish the budget calendar framework.

5.2.5 **By September 15th**, the FP&A Director sends financial budget templates to department heads, outlining Petroapp's goals regarding targeted sales, expense limits and new investments copying Strategy office and Country Finance Manager.

5.2.6 The FP&A Director organizes meetings with department heads to discuss budget details, involving the Country Finance Manager and Strategy Office.

5.2.7 **On September 16th**, the HR Head begins sending requests for workforce and training needs to department heads, asking for responses by **October 16th**.

5.2.8 Similarly, on **September 16th**, the CTO sends requests for CAPEX needs to department heads, also requesting responses by **October 16th**.

5.2.9 The FP&A team collects the departmental budgets from department heads via email by **October 16th**.

5.2.10 The FP&A Director reviews the budgets received with the Country Finance Manager, Strategy Office and Country Managers and reverts the comments to departments heads till agreeing on final budget.

5.2.11 The FP&A Director sends the final country budget to the Country Manager and Country Finance Manager and Strategy Office for confirmation by **November 1st**.

5.2.12 The FP&A Director consolidates the final budget from all countries by **10th November of the year**.

5.2.13 The FP&A Director obtains initial approval of the budget from CFO & CEO on **10th November of the year**.

5.2.14 The FP&A Director ensures the country and corporate budgets are endorsed, and approved according to the delegation of authority by **December 1st**.

5.2.15 The FP&A Director sends the final country and departments budgets to the Country Manager, Country Finance Manager and all relevant stakeholders.

5.2.16 The FP&A Director develops forecasted income, and cash flow statements and sends them to CFO, Country Manager and Country Finance Manager.

5.3 Financial Monitoring, Analysis and Reporting:

5.3.1 The Finance Country Manager prepares the trial balance and agreed reports as per **Appendix A** on a monthly basis and sends them to FP&A Director to be reviewed.

5.3.2 In case of variances, the FP&A team communicates with the Strategy Office and Country Finance Manager to provide root causes and corrective actions.

5.3.3 The root causes and corrective actions should be notified to the Country Manager.

5.3.4 Based on confirmed reports, The FP&A Director reviews actual performance against budget and target trends.

5.3.5 The FP&A team analyzes the reports received from each country and develops the financial statements as per **Appendix A**.

5.3.6 FP&A Director sends final statements and reports on **15th** of every month to CFO, Country Manager copying Country Finance Manager.

5.3.7 The reports of each country should be archived in shared folders accessible to the following individuals:

- CFO
- FP&A Director
- Country Finance Manager

5.3.8 The FP&A Director conducts a monthly review meeting with CxOs within 3 WDs from finalizing the reports every month to presenting the financial reports.

5.4 Appendix A:

Report Name	Developed by	SLA*
Actual Sales per Seller	Country Finance Department	5 WDs
Churns Report		5 WDs
Customers' Downgrades and Upgrades		6 WDs
Transfers between Accounts		6 WDs
Washing & Services		6 WDs
Headcounts Sheet		1 WD
Initial Trial Balance		6 WDs
Final Trial Balance		10 WDs
Income Statement	FP&A Team	15th of the month
Cashflow Statement		15th of the month
Balance Sheet		15th of the month
Performance Report *(Each Country)*		15th of every month
Performance Report *(Consolidated)*		2WDs *(after 15th of the month)*

* All SLAs of the country's reports should be counted from 1st of the month.